



MODERNIZATION
SOLUTIONS

CONFIDENTIAL BUSINESS PLAN

Business Plan

TSD Ventures, LLC

Insurance Underwriting Edition

Operations, exposures, and the coverage lines they map to, for underwriting.

Prepared for: Insurance broker / underwriter

June 28, 2026 · Gaston County, North Carolina · Version 2.0

(980) 890-5815 · nashdavis@tsd-ventures.com

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TSD MODERNIZATION SOLUTIONS

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Operations, exposures, and the coverage lines they map to, for underwriting.

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USE OF THIS DOCUMENT

This plan was prepared to support insurance underwriting. It describes the company's operations, the exposures its work creates, and the coverage lines it expects to need. It is a description for underwriting discussion and not a coverage determination.

SECTION 01

Plan at a Glance

\$5,200 + \$73/mo

First revenue, collected June 2026 (Bisque Imports)

\$540 /mo

Verified cost saving delivered to a client

279

Screened independent businesses staged for sales

The business

Legal entity	TSD Ventures, LLC (North Carolina, single-member)
Formed	April 27, 2026 (SOSID 3273202)
Owner	Nash Davis (100%)
Operating brand	TSD Modernization Solutions
Headquarters	Gaston County, North Carolina
What it sells	AI receptionist, grounded AI assistant, lead funnels, custom websites
Team	1 owner-operator; 3 commission-based contractors

Where it stands (June 28, 2026)

Confirmed paying clients	1 (Bisque Imports, \$5,200 one-time + \$73/month)
Other engagements	4 delivered or underway; terms family-rate, non-paying, or unconfirmed
Warm pipeline	A manufacturer (early green light, outreach pending) and a university program (strong interest)
Q3 2026 base scenario	≈ \$55,700 collected revenue, ≈ \$36,600 operating surplus (planning target)
Outside capital sought	None (revenue- and family-funded)
Prepared for	SBTDC advisor, legal counsel, insurance underwriter

SECTION 02

Executive Summary

The company. TSD Modernization Solutions helps established small and mid-size businesses in the Charlotte–Gastonia corridor stop losing customers to outdated technology.

It is the operating brand of TSD Ventures, LLC, a North Carolina single-member limited liability company formed on April 27, 2026.

The problem. Established local businesses lose money every month to three quiet leaks: calls they miss after hours, websites that are outdated or broken, and software subscriptions they rent but do not own.

The solution. Every engagement opens with a free "find the leak" diagnostic that puts a dollar figure on those losses. The company then sells one of four productized services to close the leak: an AI phone receptionist, a website and chat assistant grounded in the client's own documents, a lead-capture funnel, or a custom website. Every proposal is priced to cost less than the leak it closes, the posture the company calls "find the leak."

Traction. TSD closed and collected its first paying client, Bisque Imports, in June 2026, a \$5,200 build plus \$73 a month. Four further engagements have shipped or are underway, though the company counts none of them as a second confirmed paying client yet: their terms are family-rate, non-paying, or unsettled, as the Financial Plan details. A screened list of 279 qualifying Gaston County businesses and a rolling queue of about 39 named leads feed a field-sales motion run by two commissioned sellers.

The team. Nash Davis owns the company and builds the delivery himself. He shipped the flagship deployment eight days ahead of the written commitment, and he studies entrepreneurship and finance at UNC Kenan-Flagler. Grant Tadlock and Bishop Switzer sell on commission, and Kirk Patton, an engineer, takes overflow and specialist delivery on a per-deal profit share when work exceeds the founder's capacity.

Financial outline. Confirmed revenue to date is one paying client: a \$5,200 build plus \$73 a month, collected in June 2026. A Q3 2026 scenario, presented later as a planning target and not a forecast, models roughly **\$55,700** in collected revenue and **\$36,600** in operating surplus across July through September. That scenario rests on a field-sales conversion rate the company has not yet measured, and it assigns no cost to the founder's labor. The company seeks no outside capital.

Near-term objective. The company's central Q3 2026 objective is a validation sprint: roughly 100 walk-in sales attempts per week, with every outcome recorded the same day, to measure the real conversion rate of the demo-first motion before scaling it.

Purpose of this document. This plan organizes the company's strategy and operational facts for review by an SBTDC advisor, legal counsel, and an insurance underwriter. Figures that are early, indicative, or unconfirmed carry that label throughout, so each reader works from an accurate picture.

SECTION 03

Underwriter Facts Sheet

Exposures and the coverage lines they map to are detailed in Risk & Insurance Coverage Needs. The operating controls that reduce them are in Operations.

Field	Detail
Legal name	TSD Ventures, LLC
Operating brand	TSD Modernization Solutions
Entity type	North Carolina single-member LLC (disregarded entity)
Formed	April 27, 2026 (SOSID 3273202)
Owner	Nash Davis (100%)
Proposed industry classification	NAICS 541511 (Custom Computer Programming Services); 541613 / 541810 (marketing/advertising) also relevant
Workforce	0 W-2 employees; 3 commission-based contractors (2 sales, 1 engineer); classification under review
Premises	Home/remote-based; Gaston County, NC; [principal office address to confirm]
Service area	Charlotte metro and Gaston County, NC
Services	Website development; AI chat and voice assistants; lead-capture funnels
Client data / systems	Accesses client sites and accounts during builds; AI trained on client-provided documents; client accounts often held in client's own name
Key vendors / subprocessors	Anthropic, OpenAI, Vercel, Supabase, Vapi, Cloudflare, Square, Resend
Revenue (actual)	\$5,200 one-time + \$73/month, first collected June 2026
Revenue (projected)	Q3 2026 base scenario ≈ \$55,700 (planning target, not a guarantee)
Physical assets	Minimal computing equipment; no commercial premises, inventory, or company vehicles [confirm any business use of a personal vehicle for field sales]

SECTION 04

Operations

Delivery model. The founder, Nash Davis, performs all primary technical delivery: websites, AI integrations, analytics, and deployment. Kirk Patton, an engineer paid on a per-deal profit share, takes overflow and specialized work when demand exceeds the founder's capacity. Sellers do not build.

Capacity discipline. Delivery capacity is bounded by the founder's available hours as a full-time university student. The company caps work in progress at a guideline of four active custom builds and schedules start dates for wins beyond that limit. It plans to track delivery hours per project against a target of at least \$75 of company contribution per founder hour. At the planning contribution of about \$2,345 per build, that implies a soft budget near 31 founder-hours per build before the engagement stops being worth the founder's time. The company favors reusable demos, calculators, and templates over bespoke effort per pitch.

Technology architecture. Delivery runs on mainstream cloud platforms. Front ends use Next.js and Vite, hosted on Vercel. Data and vector search run on Supabase with row-level security. AI features use Anthropic Claude and OpenAI. The AI receptionist uses Vapi for voice orchestration. Cloudflare, Resend, and Square provide supporting services. This is a software and services operation with no manufacturing, no inventory, and no commercial premises.

Client account ownership. Where practical, the AI, hosting, and related accounts for a client's system are created in the client's own name, with TSD added as a collaborator, and third-party usage is billed to the client at cost. This keeps the client in control of their data and reduces the company's custody of client credentials and its pass-through billing exposure.

Data handling. Engagements involve the client's business content, such as catalogs, FAQs, and policies, and during builds, access to client websites and accounts. AI assistants are trained on client-provided documents and are built to cite sources and decline when information is missing. One prospect, a university pre-college program, would involve documents tied to a program serving minors, which raises the education-privacy and protection-of-minors considerations addressed in the Legal, Risk & Compliance section.

Knowledge operations. The company maintains a structured internal knowledge base of clients, prospects, plays, and lessons, refreshed on demand, so delivery and sales work from one current record.

Quality and honesty discipline. Demonstration sites are labeled as samples and built only on publicly verifiable facts. AI assistants are constrained to cite their sources. These are deliberate operating rules, and they also reduce the company's professional-liability exposure.

SECTION 05

Risk & Insurance Coverage Needs

This material supports a conversation with an insurance broker or underwriter. It describes the company's exposures and the coverage it expects to need. Final coverage decisions rest with the broker and carrier. See the Underwriter Facts Sheet for the firmographic detail and Operations for the controls that reduce these exposures.

Nature of the operation. A software and professional-services firm that builds and operates websites, AI assistants, AI phone reception, and lead-capture systems for small businesses. Work is performed remotely on cloud platforms. The company accesses client websites and accounts during builds and trains AI assistants on client-provided documents.

Coverage line	Why it applies to this company
General Liability	Third-party bodily injury or property damage and advertising injury, arising from client visits, field walk-ins, and marketing activity.
Professional Liability / Technology E&O	The core exposure. A website or AI deliverable underperforms, an AI assistant returns a wrong answer, a lead funnel mishandles a lead, or call routing fails, and a client alleges financial loss. Technology E&O specifically addresses software and AI defects and is the central coverage for this business.
Cyber Liability	The company accesses client systems and handles client business data. Exposures include data breach, ransomware, credential compromise, and unauthorized access, plus breach-response and privacy-regulatory costs. This applies even where client accounts sit in the client's own name, because TSD acts as a collaborator with access.
Business Personal Property	Computing equipment used to deliver the work. Exposure is modest given there is no commercial premises or inventory.

Exposure-to-coverage map. The grid below shows which line answers each exposure: a filled mark for primary coverage and an open mark for contributing coverage.

Exposure	Gen. Liability	Tech E&O	Cyber	BPP
Access to client systems	–	●	●	–
AI output error	–	●	○	–
Lead or call-routing failure	–	●	○	–
Field walk-ins, client visits	●	–	–	–
Data handling and breach	–	○	●	–
Equipment loss	–	–	–	●

Filled mark = primary line. Open mark = contributing line.

Ask the broker to confirm (2026 AI exclusions). Several insurers added exclusions for AI-related losses effective 2026. Because AI features are central to this company's deliverables, confirm that the general-liability, cyber, and professional-liability policies do not exclude AI-related claims, and ask specifically about technology E&O with affirmative AI coverage.

SECTION 06

Products & Services

The company sells four productized services, narrowed in June 2026 from a wider catalog to sharpen focus and pricing. Every service is offered two ways, Managed or Owned.

Service	What it is	Typical buyer
TSD Front Desk	An AI phone receptionist that answers calls, handles common questions, captures leads, and routes or takes messages after hours	Shops that lose calls and after-hours inquiries
TSD Concierge	A website and chat assistant grounded in the client's own documents, built to cite its sources and to decline when it lacks an answer	Catalog-heavy or information-dense businesses
TSD Lead Engine	A conversion-focused lead-capture funnel with back-office tools, often multilingual	Sales-driven businesses that buy or chase leads
Custom Websites	Modern websites for businesses with no site or an outdated one	Any business with a broken or missing web presence

The free diagnostic. Before any proposal, the company runs a short cost-cut audit inside a 30-minute fit call. It tallies three leaks: software the owner pays for and does not use, revenue lost to missed calls, and hours lost to manual scheduling. It then puts a single monthly figure on the total. The public savings calculator behind this uses conservative, printed assumptions: that one in four missed calls would have converted, that roughly 25% of current software spend is cuttable, and that staff time is worth \$35 an hour. The diagnostic is free and is the company's primary opening.

Managed or Owned. Every deliverable is offered two ways. Under **Managed**, TSD hosts and maintains the system for a monthly fee, with the domain registered in the client's name. Under **Owned**, the client receives the source code, credentials, and a runbook in a one-time handoff with no monthly fee. The two models also drive how ownership of the deliverable passes, which the Legal, Risk & Compliance section addresses.

	Managed (recurring)	Owned (one-time handoff)
TSD Front Desk	Hosted by TSD; monthly fee	Configuration and credentials handed off
TSD Concierge	Hosted; floor \$73/mo (Bisque reference)	Source, credentials, and runbook handed off
TSD Lead Engine	Hosted; monthly fee	Funnel and back-office tools handed off
Custom Websites	Hosted; domain in client's name	Site and code handed off; client owns it

Reference build: Bisque Imports "Clay." The flagship deployment is an AI assistant built for Bisque Imports, a business-to-business ceramics supplier in Belmont, North Carolina. Clay runs three modes: a Products mode with semantic and image search across roughly 7,600 catalog items, a Resources mode that answers from a few hundred indexed how-to passages drawn from the client's technique videos and sheets, and a Site Helper that guides navigation. It is built on Next.js, Anthropic Claude for chat, OpenAI for voice, and a Supabase vector database, and a scheduled nightly job refreshes it from the client's catalog export. Clay cites its sources and declines when information is missing. It runs on the client's own cloud accounts, with TSD added as a collaborator and third-party usage billed to the client at cost. The system is live in production at clay.bisqueimports.com.

Proprietary tooling and intellectual property. The company has built reusable assets that lower the cost of each new engagement:

- A grounded-assistant template (the basis of TSD Concierge) that turns a prospect's public materials into a cited demo the prospect can try before buying.
- A multilingual lead-funnel platform (the basis of TSD Lead Engine). Its reference build runs three product funnels in three languages, backed by a leads dashboard with a "next complex near you" canvasser finder (184 apartment complexes seeded) and a stop-based mileage tracker that logs trips at the IRS standard rate.
- A field sales dashboard, used on an iPad to capture prospects, show demos with scan-to-phone QR codes, and collect deposits in the room.
- A public savings calculator and a library of demonstration sites that open conversations.
- The company's own AI receptionist, dogfooded on a company line, (980) 890-5815, and three founder lines, on a Vapi stack (Deepgram speech-to-text, Anthropic Claude, ElevenLabs text-to-speech). This is the same product sold as TSD Front Desk, run on the company itself.

Ownership of several of these assets currently sits in the founder's personal accounts. Moving that ownership cleanly into the entity is an item for counsel, covered later.

SECTION 07

Company Overview

Legal entity. The business is one legal entity, TSD Ventures, LLC, registered in North Carolina (SOSID 3273202), formed April 27, 2026. Nash Davis owns 100% of it, and the IRS treats it as a disregarded entity for federal tax. **TSD Modernization Solutions** is a brand and operating name of TSD Ventures, LLC; the brand carries no separate legal existence. As a holding company, TSD Ventures is built to launch further brands and ventures over time under the same parent. Binding contracts use the legal name TSD Ventures, LLC, and the brand names appear in marketing.

Formation note for the file. An initial Form SS-4 filed in late April 2026 described the company as a multi-member partnership in error. It was corrected to single-member on June 19, 2026. The Articles of Organization have named Nash Davis as sole organizer throughout. The Legal, Risk & Compliance section lists the remaining administrative items, including confirming the EIN and opening an EIN-based business bank account.

What the company does. TSD Modernization Solutions builds and operates customer-facing technology for local businesses that have fallen behind: shops with no website or a parked one, businesses paying every month for software they do not use, and owners who lose calls and leads after hours. The company replaces each of those gaps with a current system the client either owns outright or has TSD manage.

Mission. Stop established local businesses from losing money to outdated systems by giving them current technology they own outright or have TSD manage.

Holding-company structure. TSD Ventures operates with a holding-company strategy. TSD Modernization Solutions is its first and primary operating business, with two jobs: turn a profit on its own terms, and build the skills, proof, and network for future ventures under the same parent. The rationale is speed to first dollar. Because TSD Ventures already exists, a new idea can start taking payments without forming a fresh LLC, EIN, bank account, and processor, and it can draw funding from the parent. That speed holds only once Ventures' own entity hygiene is clean, which is why confirming the EIN and opening the business account matter. The "training ground" framing earns its place only if the operating brand turns a profit on its own. The company holds to that as a pricing discipline and refuses to under-price a deal to chase experience.

A single LLC means shared liability. Today TSD Modernization Solutions operates as a brand inside one LLC. Any future venture would launch the same way, under Ventures, until it warrants its own entity. A claim against any line can therefore reach every asset under Ventures. A low-risk software line fits cleanly under Ventures. A higher-liability or regulated line, such as a physical-product or detailing venture, would warrant its own entity. The company brings the question of when to segregate a line, by a subsidiary or a North Carolina series LLC, to counsel.

Location and market. The company is based in Gaston County, North Carolina, and serves the Charlotte metro, Gastonia, Belmont, Mount Holly, and Dallas. Delivery happens remotely on cloud platforms. Sales happen in the field.

SECTION 08

Company Milestones & Traction

The company is young. The record below is what has actually happened, from formation through first revenue and the current pipeline.

Date	Milestone
April 27, 2026	TSD Ventures, LLC formed in North Carolina (SOSID 3273202)
May 2026	First conversation with Bisque Imports through a warm introduction
June 3, 2026	First deal closed: the Bisque "Clay" build, \$5,200 plus \$73/month
June 2026	Clay delivered eight days ahead of the written commitment and went live in production at clay.bisqueimports.com
June 8, 2026	First revenue collected
June 2026	Demonstration libraries built for corridor walk-ins; two warm prospects (a manufacturer and a university program) reached an early green light and strong interest
June 19, 2026	Form SS-4 corrected to single-member
Q3 2026 (planned)	100-walk-in validation sprint to measure the demo-first conversion rate

The company's traction is narrow and real. One paying client is live in production. The rest of the activity is delivered reference work, a screened lead base, and a demonstration library that feeds the field motion.

SECTION 09

Management & Organization

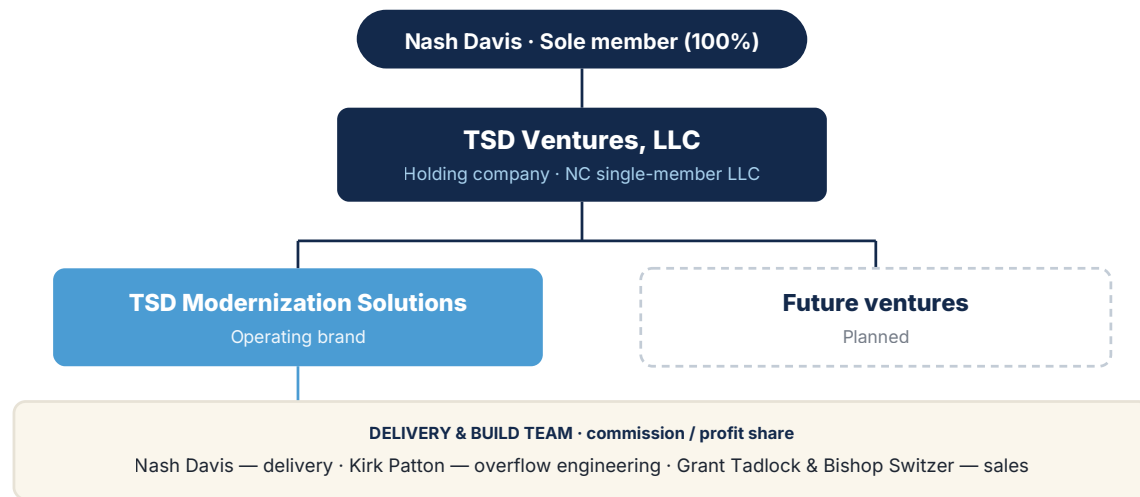


Figure 1. Ownership and holding-company structure.

Person	Role	Engagement
Nash Davis	Founder, sole owner; leads all technical delivery	Owner-operator
Grant Tadlock	Field sales and prospecting	Commission-based contractor
Bishop Switzer	Sales; sourced the education prospect	Commission-based contractor
Kirk Patton	Overflow and specialist engineering	Per-deal profit share

Founder. Nash Davis owns the company and performs the technical work. He studies entrepreneurship and finance at the University of North Carolina at Chapel Hill (Kenan-Flagler Business School).

Compensation model. Sellers and the contract engineer are paid on completed build work. Recurring managed-service revenue stays with the company. The company is moving from a flat share of per-deal gross profit toward a share of each deal's profit scaled to the person's involvement. A draft **Independent Contractor & Commission Agreement** documents these terms. It remains unsigned, and the company pays no commission until it is executed. This contract is separate from the LLC's own governing document, discussed in Legal, Risk & Compliance.

Worker classification analysis. All three contributors are paid on commission or profit share rather than salary. The company weighs the determination against the IRS common-law test of behavioral

control, financial control, and the relationship of the parties, and is aware North Carolina uses analogous tests for unemployment insurance and wage-and-hour. It has not yet made the classification call. Facts that point toward independent-contractor (1099) treatment: the sellers set their own hours and territory, are paid purely on results with no guaranteed wage, bear their own travel costs, and are free to work elsewhere. Facts that could point toward employee (W-2) treatment: the company supplies the sales tools, the demos, and the pricing. The company is bringing the determination to counsel and will paper written independent-contractor agreements consistent with the answer.

Equity. The founder is weighing whether to grant equity in TSD Ventures to the contributors. No amount, vesting schedule, or terms are decided. Any grant would be a securities issuance that needs a valid exemption, vesting with a cliff, an 83(b)-election window, repurchase and departure terms, and a current valuation. The company will use counsel before any grant.

Public titles and authority. For marketing, the company presents its three principals with executive titles. The legal and economic structure is a sole owner who performs delivery, with two sellers and one engineer paid on commission and profit share. The company limits actual contracting and binding authority to the sole member, and will ask counsel to advise on aligning external titles with internal authority and on written authority limits, since holding non-owners out as officers can create apparent-authority risk.

Advisors. The company is engaging the North Carolina Small Business and Technology Development Center (SBTDC) for advisory support, and is retaining counsel and securing business insurance. Those are the three purposes for which this plan was prepared.

SECTION 10

Strategy & Risk

The company manages its risks deliberately. The following summarize its position and the controls in place or planned.

SWOT.

Strengths	Weaknesses
A confirmed paying flagship live in production; reusable IP that lowers cost per build; a demo-first motion that removes buyer risk; a technical founder who delivers at low cost; a client-owns-accounts model that reduces custody and liability	Delivery bottlenecked on one founder who is a full-time student; an unproven cold walk-in motion; a small recurring-revenue base; unsigned contributor contracts
Opportunities	Threats
A dense, underserved local market; compounding recurring revenue from Managed plans; reusable vertical templates; a reputation as the corridor's AI specialists	AI platform commoditization; larger agencies entering the local market; founder key-person dependency; contractor misclassification

Key risks and mitigations.

Risk	Exposure	Mitigation / current control
Sales execution	The cold walk-in close rate is unmeasured and may fall below the 1.5% base case	Run the 90-day sprint to measure the real rate; lead with warm referrals; reforecast after the first 100 walk-ins
Delivery capacity	The founder's academic schedule limits build hours	Cap active builds at four; use the contract engineer for overflow; favor reusable, productized work
Customer concentration	One confirmed paying client to date	Convert the warm pipeline and run the sprint to diversify the book
Legal & compliance	Contractor misclassification, and consent rules for lead-gen and AI calling	Obtain a classification determination from counsel; sign contractor agreements; adopt the communications-compliance policy in this plan
AI output error	An AI deliverable returns a wrong answer and a client alleges loss	Assistants cite sources and decline rather than guess; contract disclaimers and a human-review expectation; technology E&O coverage
Key person	Delivery depends on the founder	Document processes; use the contract engineer; structure the single-member Operating Agreement for continuity

SECTION 11

Market & Strategy in Brief

TSD sells to one customer: the established, independent corridor business with a broken digital front door and a stack of software subscriptions it does not own. It opens with a free diagnostic that quantifies the money the business loses each month, then sells one of four services (AI receptionist, grounded chat assistant, lead funnel, or custom website), delivered either Managed (hosted by TSD for a monthly fee) or Owned (handed off for a one-time fee).

It wins against rented marketing software and against do-it-yourself or do-nothing alternatives by quantifying the buyer's hidden costs, building a working demonstration before the buyer commits, and leaving the buyer in control of their own accounts and data. Sales run as a demo-first field motion led by two commissioned sellers. Delivery is performed by the founder, with overflow help from a contract engineer.

SECTION 12

Legal, Risk & Compliance

This section consolidates the company's legal and compliance position and the items it is bringing to counsel. It summarizes current status and questions for the company's advisors.

Entity and good standing. TSD Ventures, LLC is a North Carolina single-member LLC (SOSID 3273202), formed April 27, 2026, owned 100% by Nash Davis, and treated as a disregarded entity for federal tax. The SS-4 was corrected to single-member on June 19, 2026, consistent with the Articles of Organization. The company will keep a registered agent in good standing and file the annual report.

The two agreements (a distinction the company keeps). The company recognizes two separate instruments. The first is the LLC's own **Operating Agreement**, the member's governing document, which TSD Ventures does not yet have. Even for a sole member, the company intends to adopt one: it documents the disregarded-entity treatment, member and manager authority, capital and the handling of family contributions, succession on death or disability, and the formalities that support the liability shield. The second is the **Independent Contractor & Commission Agreement** with the two sellers and the engineer, a compensation contract rather than a governing document. It is drafted and unsigned, and the company pays no commission until it is executed.

Corporate separateness. The company treats the LLC's liability shield as earned through behavior. It signs binding contracts in the legal name TSD Ventures, LLC and uses brand names only in marketing. It will keep a dedicated EIN-based operating account, with family contributions and the founder's personal funds tracked separately, and per-idea books for any future venture housed under Ventures. It relies on adequate capitalization and on E&O and cyber coverage rather than on the shield alone.

Banking and money handling. Payments process through Square today. The near-term items are to confirm the EIN is in hand, open an EIN-based business bank account, and keep operating receipts, family contributions, and the founder's personal funds separate. The company will confirm with counsel and a CPA that its at-cost pass-through charges for third-party AI and hosting usage are characterized correctly as reimbursed expenses rather than marked-up revenue, with clean documentation, and that the disregarded-entity reporting and any Square 1099-K reconcile. It will set a tax reserve and an estimated-payment schedule.

Worker classification. The 1099-versus-W-2 treatment of the two sellers and the engineer is an open question for counsel, analyzed in the Management & Organization section against the IRS common-law factors. Written independent-contractor agreements will follow from the determination.

Intellectual property chain of title. The reusable assets the company sells from, including the grounded-assistant template, the multilingual lead-funnel platform, the savings calculator, and the sales dashboard, were authored by the founder and currently reside in his personal accounts. The company will execute a written **IP assignment** from Nash Davis individually to TSD Ventures, LLC, covering all pre-existing code and templates, plus a forward invention-assignment. Because the lead-funnel platform originated from unpaid work for an insurance agency, the company will also obtain a written release and IP waiver from that agency confirming it claims no ownership, so the company can represent clean title in what it sells.

Client contracting framework. The company will standardize a master services agreement (MSA) and per-project statements of work (SOW). The MSA will cover confidentiality, IP ownership and licensing, a limitation of liability capped at recent fees, a disclaimer of warranties for AI output, indemnification, data-processing terms, and termination. Ownership differs by model: under **Owned**, the bespoke deliverable is assigned or broadly licensed to the client while TSD retains its pre-existing templates and tools; under **Managed**, TSD retains ownership, the client receives a term license, the domain sits in the client's name, and the contract defines an exit and transition path. Each SOW will specify deliverables, acceptance criteria (for example, a five-business-day window to report defects), a revision limit (for

example, two rounds), a payment schedule (a 30% deposit with the balance on acceptance), and the subprocessors used.

Regulatory compliance: telecom and messaging. Because TSD Front Desk places and answers calls and TSD Lead Engine captures leads, the company will adopt a written communications policy. These controls are planned rather than already in place:

- **Text messaging (TCPA).** Lead-capture forms that may trigger texts will obtain prior express written consent through clear, unchecked checkbox language, with a record of consent retained, and the company will complete 10DLC brand and campaign registration before sending application-to-person SMS. Every automated message will identify the sender and include opt-out instructions (for example, "Reply STOP to unsubscribe").
- **Call recording.** The AI receptionist will give an audible, upfront disclosure on inbound calls (for example, "This call may be recorded"), to address consent across one-party (North Carolina) and two-party states, since the caller's location is unknown.
- **Email (CAN-SPAM).** Commercial email will include the company's valid physical address and a working unsubscribe link and will avoid misleading headers.

The company's Gallant reference funnel does not yet capture TCPA consent, and the company treats adding it as a launch gate.

Data protection, privacy, and the education sector. Client engagements rely on AI and hosting subprocessors (Anthropic, OpenAI, Supabase, Vercel, Cloudflare, Vapi, Resend). The company will incorporate a data-processing addendum into client contracts naming these subprocessors, flowing down their data-handling commitments, and confirming client content is not used to train third-party models under the providers' enterprise terms. For the university pre-college prospect, which serves high-school minors, the company structures the engagement to avoid custody of student personally identifiable information: it contracts with the institution, processes only institutional data such as program catalogs, and keeps its systems from collecting data from children under 13 to stay outside COPPA. Its MSA will require the client to warrant that data provided for processing complies with FERPA. The company will address breach notification under the North Carolina Identity Theft Protection Act.

AI risk allocation. The company's AI deliverables are engineered to reduce error: assistants cite their sources, decline rather than fabricate when information is missing, and demonstrations are built only on publicly verifiable facts. These operating rules pair with contract terms that allocate residual risk: an output-accuracy disclaimer stating AI responses may contain errors and are not professional advice, a human-review expectation for any consequential use of AI output, and a limitation of liability.

First-party web properties. The company operates public web properties, including the savings calculator, the public AI demonstration, and a library of personalized demonstration sites. It will publish a Terms of Service and a Privacy Policy governing data collected through them, including any lead form, and disclosing analytics. Demonstration sites built on third parties' public information are labeled as samples and carry a non-affiliation note.

Brand protection. The company contracts in its legal name and markets under the assumed name TSD Modernization Solutions. No assumed-business-name certificate is yet on file. Under North Carolina's Assumed Business Name Act, a single certificate filed with any county Register of Deeds is effective statewide, and the company will file for the brand, and for any future ventures as they launch. On

trademark, the company recognizes that "TSD" is a short initialism with clearance risk and will run a search before investing further in the marks.

SECTION 13

Financial Plan

The company is early-stage. This section separates what has happened from what is planned, and labels every projection.

\$5,200 + \$73/mo

First revenue, collected
(Bisque)

\$3,450

Planning average build price

≈ \$2,345

Planning contribution per build*

*Before general overhead, taxes, and any cost for the founder's labor.

Revenue to date (actual). One paying client has closed and collected: **Bisque Imports**, a one-time build of **\$5,200** plus **\$73/month** recurring, paid June 8, 2026. This is the company's first revenue. Other delivered or in-progress engagements (Gallant, Cake Me Away, Studio C, and a family build for Coastal RV) are not counted as revenue here, because their commercial terms are unconfirmed, family-rate, or non-paying. One delivered engagement, a bakery turnaround, produced a verified **\$540/month** (\$6,480/year) cost reduction. That saving came from two cuts: a \$140/month web vendor whose contract was ended, and a \$400/month restaurant-marketing subscription that was canceled and that, on inspection, was not even hosting the business's live site. The company's own fee for that engagement is not yet captured.

Pricing (indicative). Service prices are being finalized. The ranges below are indicative and may move before they are committed. Managed AI services are anchored at the floor by the live Bisque retainer (\$73/month) and rise as more AI products are added. Lead-funnel builds are scoped in a low-thousands range. Owned versions are priced above the Managed setup with no monthly fee.

Unit economics (planning basis). The company plans around an average custom build near **\$3,450**. After a 30% deposit, processing fees, and seller compensation, the planning contribution to the company per build is roughly **\$2,345**, before general overhead, taxes, and any cost for the founder's labor.

Q3 2026 scenario model. The following is a planning scenario for July through September 2026, built from an assumption of roughly 1,300 combined walk-in attempts at three close rates. It is a planning target and a tool for spotting the dominant variable, which is sales conversion. It is **not** a forecast: the company has no measured walk-in conversion history yet, the founder's labor is costed at zero, and any family funding is tracked separately and excluded from revenue. Appendix E lists the full assumptions.

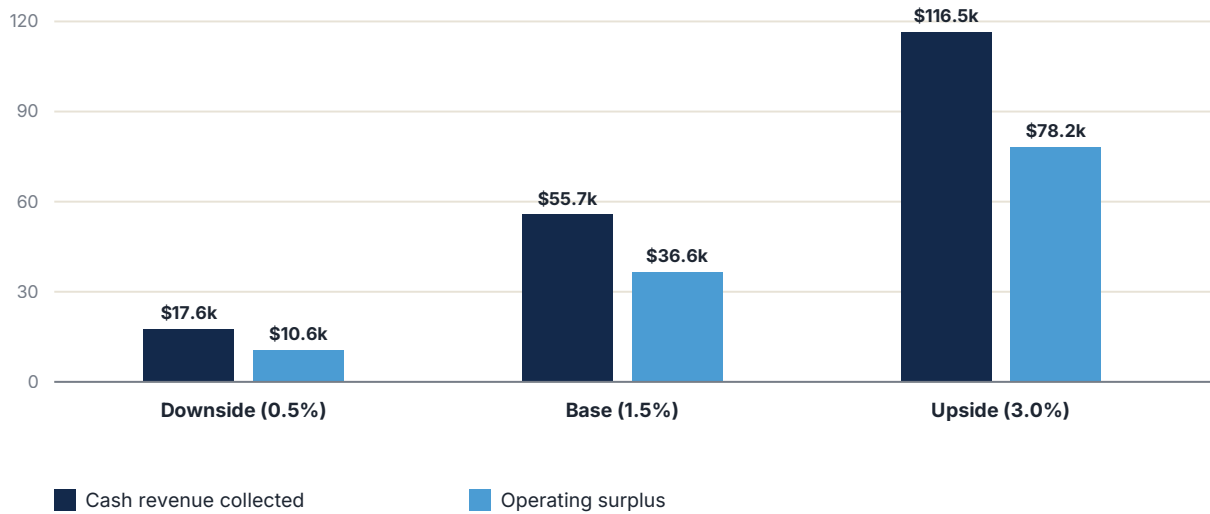


Figure 2. Q3 2026 scenario model. Planning target, not a forecast.

Q3 2026 (Jul-Sep)	Downside (0.5%)	Base (1.5%)	Upside (3.0%)
Combined walk-ins	1,300	1,300	1,300
Cold walk-in wins	~7	~20	~39
Signed bookings	\$22,400	\$70,500	\$146,300
Cash revenue collected	\$17,600	\$55,700	\$116,500
Processing fees	\$500	\$1,600	\$3,400
Seller compensation	\$5,000	\$16,000	\$33,500
Fixed operating costs	\$1,500	\$1,500	\$1,500
Operating surplus	\$10,600	\$36,600	\$78,200
Recurring revenue exiting September	~\$230/mo	~\$690/mo	~\$1,595/mo

Reading the scenario. The walk-in close rate is the dominant variable. Moving from the 1.5% base assumption down to 0.5% cuts projected collected revenue by about 68%. The Q3 sprint exists to find the true rate before the company commits to it. The base case also places one warm-pipeline item in August, a probability-weighted \$3,185, from a 30% close probability on the A.B. Carter planning anchor and 25% on the Columbia placeholder midpoint. That is planning math, not a claim that fractional cash will arrive.

Base-case monthly path.

Base case	July	August	September	Q3 total
Total cash revenue	\$6,801	\$25,920	\$22,973	\$55,693

Base case	July	August	September	Q3 total
Operating surplus	\$4,144	\$17,208	\$15,274	\$36,626

How to read the surplus. Operating surplus here is cash revenue minus processing fees, seller compensation, and fixed costs. It excludes income and self-employment taxes, owner draws, and any charge for the founder's delivery time. The company treats it as business cash available rather than economic profit, and plans to track actual delivery hours per project so true margin becomes visible. The seller-compensation line uses the company's prior flat rule (30% of each deal's gross profit); the company is moving toward an involvement-scaled profit share, and this line will be restated once that model and its contracts are final.

Path to profitability. Recurring managed-service revenue, kept in full by the company, is the durable line. The plan attaches a managed plan to a majority of builds so recurring revenue compounds while one-time build revenue funds current operations.

Funding. The company seeks no outside capital. It is funded by revenue and by family support, with the family support tracked separately from operating receipts. This plan is for advisory, legal, and insurance purposes and contains no financing request.

APPENDIX A

Entity & Registration Summary

Item	Status
Legal entity	TSD Ventures, LLC (North Carolina)
State ID (SOSID)	3273202
Formation date	April 27, 2026
Ownership	Nash Davis, sole member (100%)
Federal tax treatment	Disregarded entity (single-member LLC)
SS-4 / EIN	Corrected to single-member June 19, 2026; confirm EIN in hand
LLC Operating Agreement	To adopt (single-member, with continuity provisions)
Contributor agreement	Independent Contractor & Commission Agreement; draft, unsigned
Business bank account	To open (EIN-based); currently processing via Square
Assumed names (brands)	TSD Modernization Solutions; certificates to file (and for future ventures as they launch)
Registered agent / principal address	[to confirm]

APPENDIX B

Financial Model Assumptions

The Q3 2026 financial scenario is a planning model, not a forecast. It rests on these assumptions:

1. **Sales activity.** Two sellers conduct a combined 1,300 walk-in attempts over the 13-week quarter (about 100 per week).
2. **Conversion rate.** The base case assumes a 1.5% walk-in-to-close rate, with a 0.5% downside and a 3.0% upside. The company has no historical data for this motion.
3. **Average deal size.** An average one-time build fee of \$3,450.
4. **Cash collection.** A 30% deposit at signing, with the remaining 70% collected within the same quarter.
5. **Processing fees.** 2.9% on collected build revenue.
6. **Seller compensation.** Calculated on the prior flat-rate model (30% of gross profit), to be restated once the involvement-based agreement is signed.
7. **Founder's labor.** Costed at \$0. Operating surplus is therefore business cash before owner compensation, not economic profit.
8. **Recurring revenue.** Assumes a managed plan attaches to a majority of builds, anchored at the \$73/month Bisque floor.
9. **Warm pipeline.** The base case adds a probability-weighted \$3,185 in August (30% on the A.B. Carter anchor, 25% on the Columbia midpoint); the downside assumes neither closes.
10. **Fixed costs.** \$500 per month across the quarter.

APPENDIX C

Live Properties & Demonstrations

The company maintains the following live properties, used as proof and as sales tools. Client-named items appear with the understanding that this document is confidential. Public publication of the Bisque case study is pending the client's written approval.

- **Company website and savings calculator** — the public site and the "find the leak" calculator, which uses the conservative printed assumptions noted in Products & Services.
- **Public AI demonstration** — an interactive assistant on sample businesses that cites its sources when configured with live AI keys; the public instance currently falls back to an offline keyword mode pending key setup.
- **Demonstration library** — personalized sample sites and assistants for corridor businesses, each labeled as a sample.
- **Reference deployment (Bisque "Clay")** — a live, production AI assistant for a paying client.
- **Lead-funnel reference (Gallant)** — a live trilingual lead-capture system with a canvasser finder and mileage tracker.
- **AI phone reception** — a live company line, (980) 890-5815, and three founder lines, on a Vapi voice stack.

APPENDIX D

Reference Engagement: Bisque Imports

Client. Bisque Imports, a business-to-business ceramics supplier in Belmont, North Carolina, selling ready-to-paint bisque and related goods to studios. The binding counterparty is Toal Industries Inc., which operates the Bisque Imports brand as a d/b/a; invoices issue to Toal Industries Inc. (d/b/a Bisque Imports).

Engagement. The company built "Clay," an AI assistant that answers customer and staff questions across roughly 7,600 products and a library of how-to resources. Clay runs three modes (Products, Resources, and Site Helper), cites its sources, declines to guess when information is missing, and refreshes nightly from the client's catalog export. It runs on the client's own cloud accounts, with the company added as a collaborator and usage billed at cost.

Commercials. A one-time build of \$5,200 plus \$73/month for ongoing management, closed June 3 and paid June 8, 2026. This is the company's first revenue and its primary proof point. The build shipped eight days ahead of the written commitment.

Status. Live in production. A written case study is drafted and will publish once the client provides a quote and written approval.

APPENDIX E

Glossary

- **Managed vs Owned** — the two ways every TSD deliverable is offered: hosted and maintained by TSD for a monthly fee (Managed), or handed off to the client for a one-time fee (Owned).
- **Grounded / RAG assistant** — an AI assistant restricted to a specific business's documents (retrieval-augmented generation), built to cite sources and to decline when information is missing.
- **Lead Engine** — the company's lead-capture funnel product.
- **MRR** — monthly recurring revenue, the durable subscription line.
- **Managed attach rate** — the share of one-time builds that also carry a recurring Managed plan.
- **Walk-in close rate** — the share of in-person sales attempts that convert to a signed, deposited build.
- **E&O / Technology E&O** — errors-and-omissions (professional liability) insurance; the technology variant covers software and AI defects.
- **TCPA / CAN-SPAM** — federal rules governing automated calls and texts (TCPA) and commercial email (CAN-SPAM).
- **FERPA / COPPA** — the federal student-records privacy law (FERPA) and the children's online-privacy law for users under 13 (COPPA).
- **SOSID** — the North Carolina Secretary of State identification number for a registered entity.
- **NAICS** — the North American Industry Classification System code used to classify the business (proposed: 541511).
- **SBTDC** — the North Carolina Small Business and Technology Development Center, a free business-advisory service.

- **Disregarded entity** — a single-member LLC whose income is reported on the owner's personal return for federal tax.